Missoula's Housing Capacity Is Already on the Books

Where the Growth Policy makes room for the next ~43,000 homes — and where that capacity clusters

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Executive Summary

The finding: Missoula's adopted Growth Policy already plans for roughly **43,000 more homes** on land that is vacant or economically underbuilt today — about as many homes as the city currently has (~44,300) — **without changing the plan or touching a floodplain**. Half of that capacity is small-scale infill on parcels of five acres or less, and a third of it concentrates in just ~3% of the urban fabric.

The recommendation: As the City rewrites its development code, align zoned entitlements with the Growth Policy in the handful of corridors where capacity already clusters — and pair that upzoning with preservation for the 530 mobile-home parcels (~2,850 of Missoula's most affordable homes) that sit on the same planned-density land.

The question

Missoula is considering policy changes to advance housing affordability and smart growth at a moment when Montana's land-use rules are shifting under the 2023 Montana Land Use Planning Act and the City's own code-reform work. The sharpest question a parcel dataset can answer for that effort is not "where could the city grow someday?" but: **how much housing does the City's adopted plan already make room for, and where?** If the answer is "a lot, in specific places," the policy task stops being about finding new land and becomes about removing the friction — zoning, process, infrastructure — between the plan and the ground.

That question sits directly under both of the City's stated goals. **Affordability** in a supply-constrained market is won two ways: adding homes where demand already is, and protecting the low-cost homes that exist — this analysis locates the first (43,000 plan-enabled units) and flags the second (the mobile-home counterpoint below). **Smart growth** means directing that supply *inward* — onto vacant and underbuilt land already served by streets, pipes, and transit — rather than outward into farmland and hazard areas. Plan-enabled capacity is, by construction, smart-growth capacity: it sits inside the existing urban fabric, nets out floodway and steep slopes, and half of it is small-scale infill. Every unit built there is a unit not built as sprawl at the urban edge.

Approach

We work from the City of Missoula taxlot layer — **32,974 parcels** with existing use, dwelling units, assessed values, current zoning, Growth Policy future land use, and floodplain/steep-slope shares[1]. For every parcel whose future land-

[1] Areal math is done in NAD83 State Plane Montana (feet), the layer's native projection. See Methods & Sources for cleaning decisions, including ~900 curve geometries and the flood/slope fields where missing genuinely means zero.

use designation calls for housing, we compute **plan-enabled capacity**: the parcel's developable acres (net of floodway and steep slope) times an assumed allowable density for its designation, minus the dwelling units already standing[2].

We then keep only parcels where that capacity is **realistically addressable**: vacant, or economically soft (assessed improvements worth less than the land under them), excluding public and institutional land, parks and open space, master condo records — and mobile-home parks, which score as "soft" but are naturally occurring affordable housing (they get their own finding below, as a risk rather than an opportunity). Finally, a **Getis-Ord Gi*** analysis on a 1,000-ft hex grid finds where that capacity clusters. Full detail: Methods & Sources.

[2]Densities are the midpoints of the adopted 2035 Growth Policy designation ranges (e.g., Residential Medium 3–11 du/ac ⟶ 7), as those ranges are applied in the City's own annexation and rezoning staff reports; they're centralized in `code/00_setup.R`. This is *plan-implied* capacity from the City's future land-use map, deliberately distinct from current zoning: it measures what the City has already agreed growth should look like.

Finding 1 — A third of the capacity clusters in ~4% of the city

Figure 1: **The story in one map.** Green hexes hold significantly more plan-enabled capacity — counting each hex together with its neighbors — than a random arrangement of the same parcels would produce (Getis-Ord Gi*); darker green means stronger statistical evidence, not more capacity. The clusters: the Mullan/Sxwtpqyen area in the northwest, the midtown corridor, and the south hills. Together the 40 hexes at 95%+ confidence hold ~14,600 units — a third of the citywide total on ~3% of the urban fabric.

Untapped capacity is not evenly smeared across Missoula. Aggregated to a 1,000-ft hex grid and tested for spatial clustering, **40 of 1,188 hexes (~3.4%) are hot spots at 95%+ confidence, and they hold ~14,600 of the ~43,000 plan-enabled units**. These are the places where code reform, infrastructure investment, and permitting capacity would do the most work per acre: the Mullan/Sxwtpqyen growth area, the midtown corridor, and the south hills.

Finding 2 — The plan already makes room for ~43,000 homes

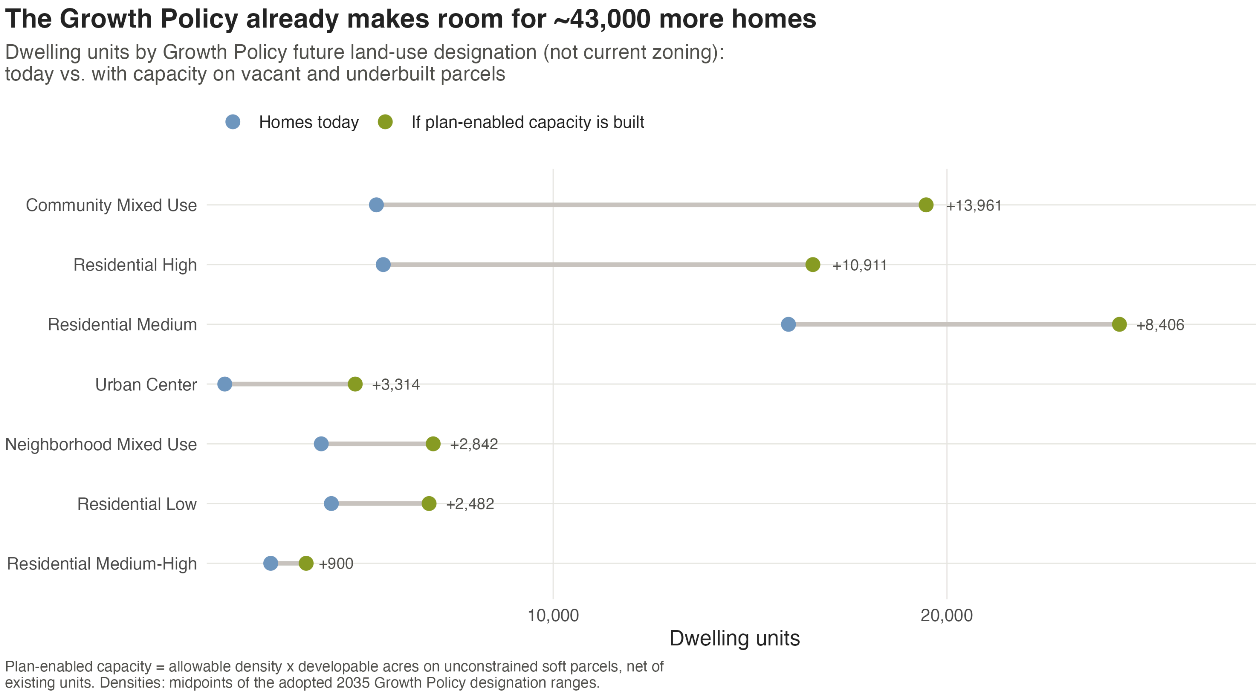

Figure 2: Dwelling units by Growth Policy future land-use designation: homes on the ground today (blue) versus today plus plan-enabled capacity on vacant and underbuilt parcels (green). Community Mixed Use and the medium/high residential designations carry most of the headroom.

Summing across designations, **3,419 opportunity parcels (~4,200 acres) carry ~43,000 plan-enabled units** — nearly a one-for-one doubling of the existing ~44,300-unit stock. Roughly half of that capacity sits on vacant land and half on economically underbuilt parcels whose improvements are worth less than the land beneath them. This is not a rezoning wish list: every unit of it is consistent with the future land-use map the City has already adopted. The capacity is real, mapped, and — because it nets out floodway and steep-slope land — buildable ground.

Finding 3 — Half the opportunity is small-scale infill

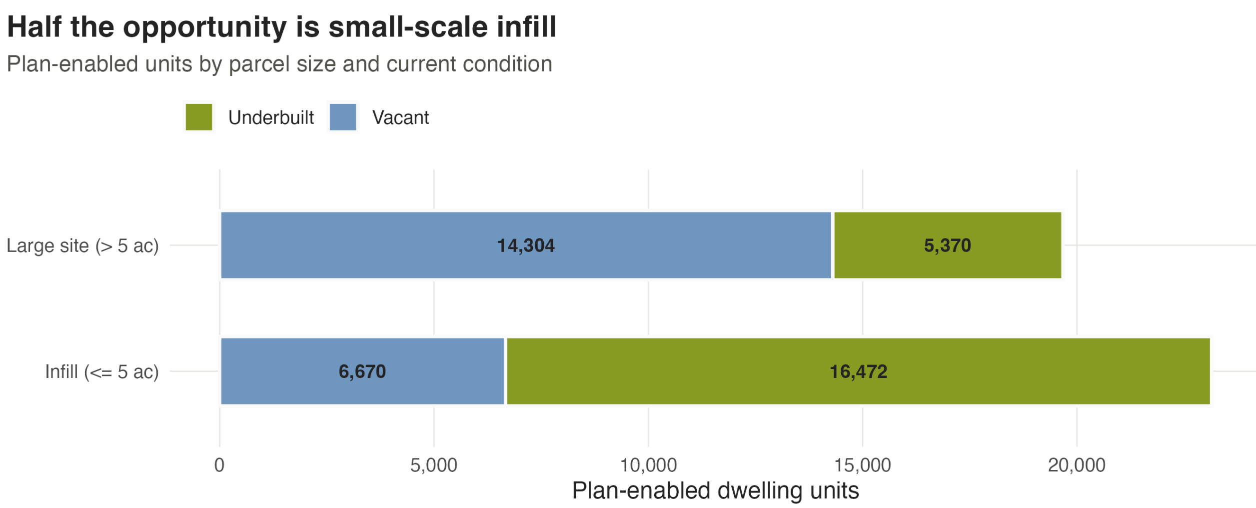

Figure 3: Plan-enabled units by parcel size and current condition. Small parcels (≤ 5 acres) — the scale of an individual owner, a small builder, a neighborhood lot — carry half the citywide total.

Big vacant tracts get the headlines, but **parcels of five acres or less carry ~23,100 units — 54% of the total**, most of it on *underbuilt* rather than vacant land. That matters for policy design: large-site capacity is unlocked by master planning and infrastructure; small-site capacity is unlocked by **by-right approvals, missing-middle allowances, and simpler review** — exactly the levers a development-code rewrite controls.

The counterpoint — density on paper, displacement on the ground

The same screen that finds opportunity also finds risk: **530 mobile-home parcels holding ~2,850 units sit on land the Growth Policy designates for higher density**. Their improvement values are low, so any market-driven realization of the plan's capacity puts them first in line for redevelopment — and they are among the city's most affordable homes. We deliberately excluded them from the opportunity count, and recommend the capacity strategy be paired from the start with mobile-home park preservation tools (resident ownership conversions, zoning overlays, relocation standards).

What this means for the code reform

1. **Align zoning with the plan where capacity clusters.** The hot-spot corridors are where the gap between the future land-use map and current entitlements is doing the most damage. Focus the rewrite there first.
2. **Make small infill easy.** Half the capacity is on small parcels; by-right missing-middle and streamlined review convert it from paper to permits.
3. **Protect the residents already providing affordability.** Preservation for the 530 mobile-home parcels before — not after — the surrounding land appreciates.

Caveats

Plan-enabled capacity is **what the adopted plan makes room for, not a development forecast**: it ignores ownership, market feasibility, and infrastructure timing. Densities use the midpoints of the Growth Policy's designation ranges — the plan's ceiling would roughly double the headline. The Sxwtpqyen master-plan area carries its own designation we conservatively treat as non-residential, so the true total is likely *higher*. See Methods & Sources.

Note

Data sources.

- City of Missoula taxlot layer (2024) with assessor, zoning, Growth Policy future land use, and constraint attributes (provided for this exercise)
- Field map / data dictionary accompanying the taxlot layer

Analysis and figures: Kasey Zapatka, 2026. Full methodology: Methods & Sources. Code: github.com/kaseyzapatka/cascadia.